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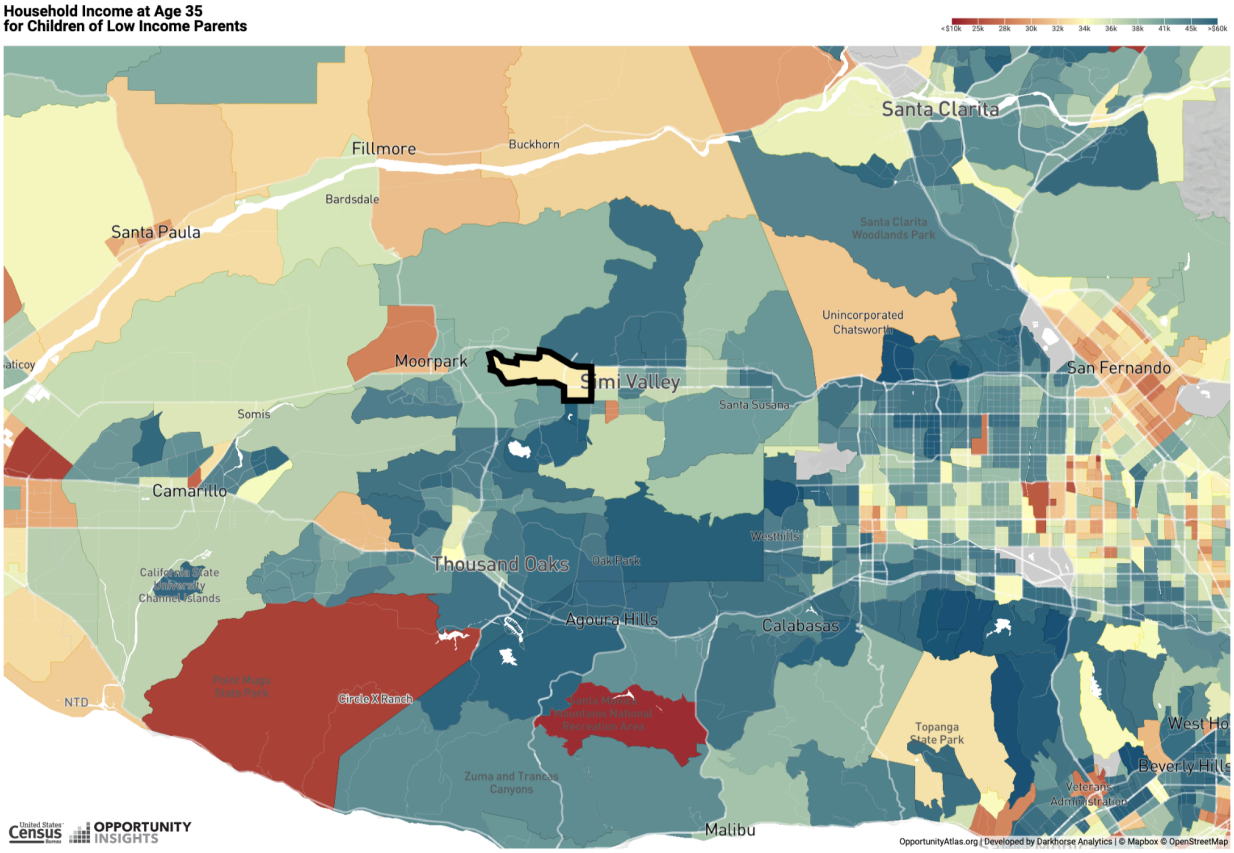
Economic Mobility in Simi Valley & Ventura County

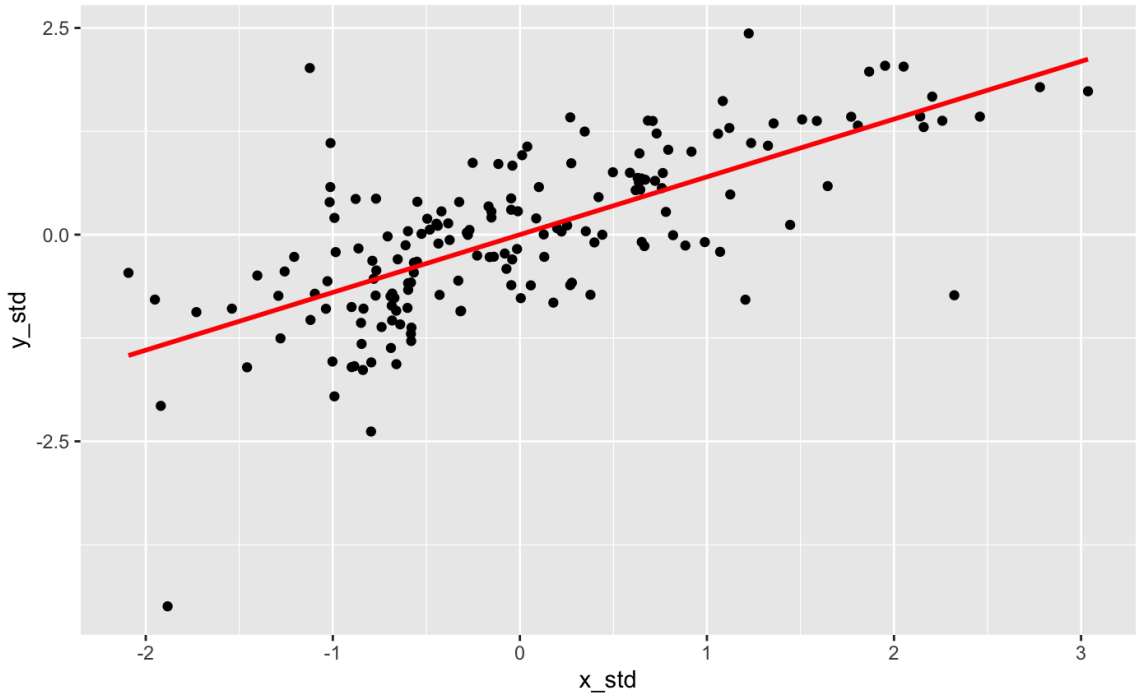


In studying the economic mobility of my hometown, Simi Valley, I came to some interesting yet predictable conclusions about that city and the surrounding areas in Ventura County. Children of parents at the 25th percentile of the income distribution from the tract where my house is located have an average income of $33029.82. This number is lower than both the California state average of $35765.82, and the national average of $34311.68. Based on this information, the conclusion can be drawn that kids who's parents were in the 25th percentile of the income distribution from my tract have a lower chance of climbing the income ladder than the average kid in California, and the average kid in the United States.

Additionally, kids from my tract who's parents were in the 75th and 100th percentile of the income distribution had lower incomes than both the national average and the California state average. This makes it clear that kids who have parents within all levels of the income distribution from my tract have a lower likelihood of climbing the income ladder than the average kid with parents of comparable income levels from California and the United States.

Furthermore, I estimated a positive relationship between the outcomes of children in Ventura county with parents at the 25th percentile and the outcomes of children with parents at the 75th percentile. I estimated a correlation coefficient of 6.9870e-01, showing a strong positive correlation between outcomes significant beyond the 1% level. This demonstrates that areas in Ventura county where children of low income families tend to have positive outcomes also produce generally positive outcomes for children of high income families. This is the result I intuitively expected. The figure below visualizes the positive correlation between the outcomes of children in Ventura county with parents at

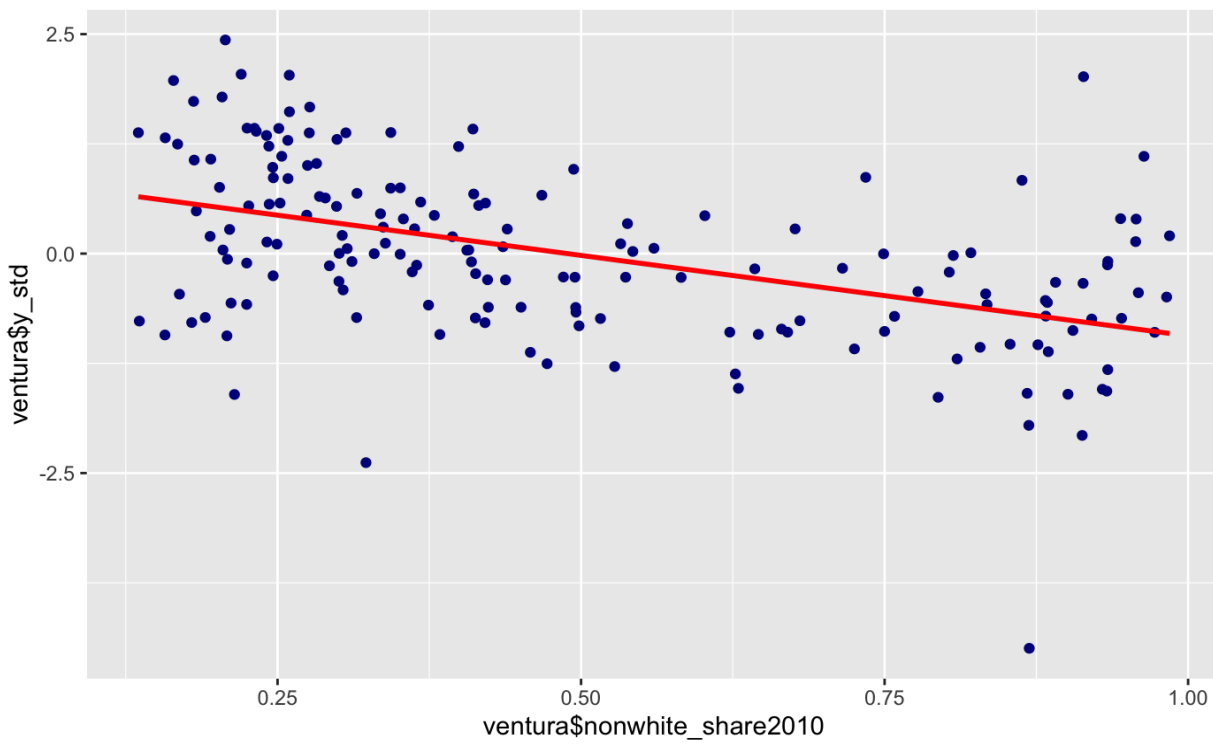
the 25th percentile and the outcomes of children with parents at the 75th percentile.



Intriguingly, upon testing for individual races in my county, I found that most races exhibited the same relationship as the pooled results displayed above. However, I estimated a very slightly *negative* relationship (extremely close to 0) between the outcomes of black children in Ventura county with parents at the 25th percentile and the outcomes of black children with parents at the 75th percentile. This demonstrates that areas in Ventura county where black children of low income families tend to have positive outcomes do not necessarily have positive outcomes for black children of high income families or vice versa.

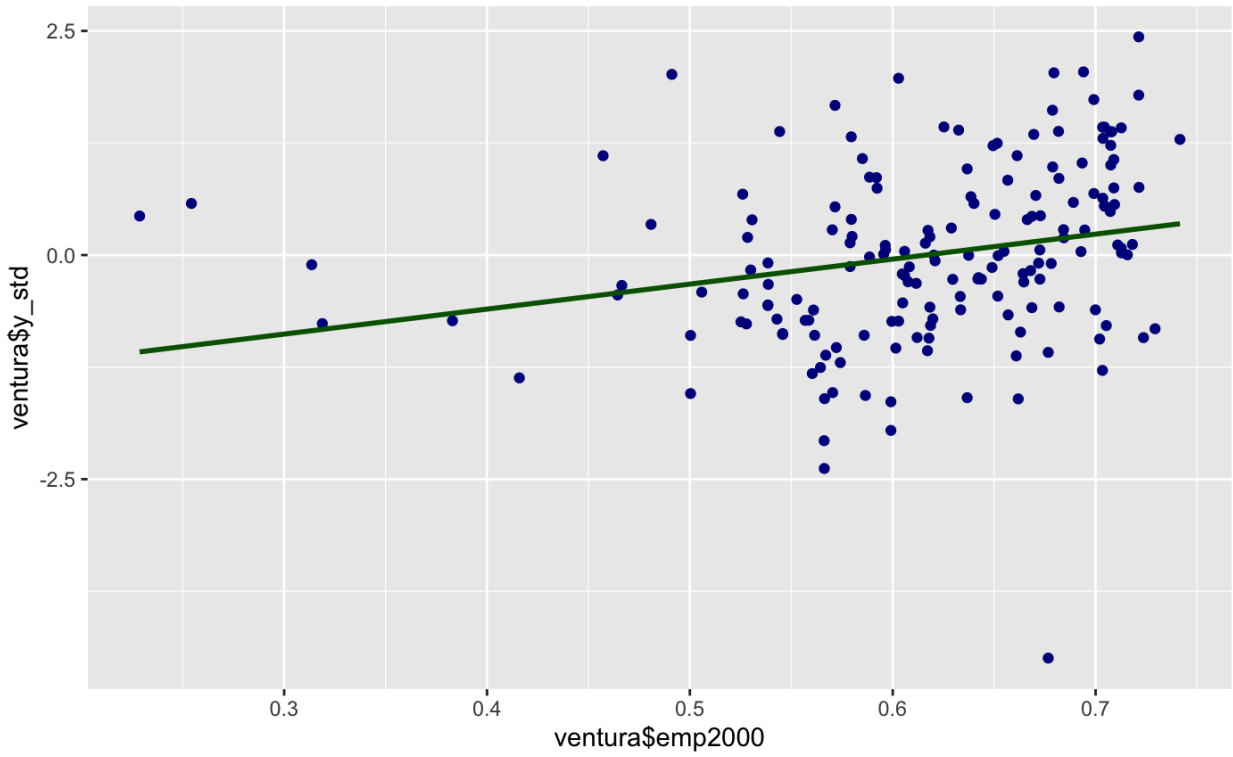
I tested if areas in Ventura county with higher populations of non-white people exhibited significant deviations in economic mobility. I used the following simple linear regression: Outcomes = $\beta_0 + \beta_1$non-white + u, where outcomes → outcomes for children in Ventura county with parents in the 75th percentile of the income distribution and

non-white → share of non-white people in the tract in 2010. H_0: $\beta_1 = 0$; H_A: $\beta_1 \neq 0$. I found a correlation coefficient for this test of -1.83312. The 95% confidence interval for this estimate is (-1.851498, -1.814742). This demonstrates a negative association between the share of non-white people in a given tract in Ventura county and the economic mobility of that tract. See the following figure for visualization of this relationship:



I also test if changes in employment rate in areas in Ventura county correlated with changes in mobility. To do this, I regressed: Outcomes = $\beta_0 + \beta_1$emp + u, where outcomes → outcomes for children in Ventura county with parents in the 75th percentile of the income distribution and emp → the employment rate in 2000. H_0: $\beta_1 = 0$; H_A: $\beta_1 \neq 0$. With this regression, I estimated a correlation coefficient of 2.78777 with a 95% confidence interval of (2.727608, 2.847932). This positive correlation demonstrates that increases in the employment rate for a given tract in Ventura county are associated with increases in the

outcomes for children in Ventura county with parents in the 75th percentile of the income distribution. This, for me, is another intuitively reasonable prediction. The figure below visualizes the relationship between outcomes and employment rates:



From all of the data analysis conducted, I found some key takeaways about the economic mobility of my area. It is not possible to determine causation for the relationships presented in these regressions. This is due to the presence of many confounding variables within these questions. For example, historical zoning laws may play a role in determining which racial groups live in a certain area and which jobs are available to them. Thus, it is difficult to draw any conclusions about policy enactment to alter the outcomes that are represented in this data. However, based on the trends and patterns within all of the tests conducted in this project, I would likely bring up economic and employment equity amongst racial groups to a policymaker. I believe a few questions should be asked. Are all

racial groups experiencing similar opportunities for employment? Are all racial groups being compensated equally for equal work? It is possible that areas with large quantities of non-white people have smaller job markets. How do we mitigate this?